

2004. They were spending \$827 million in ads, and the year wasn't even over yet. Think about that same amount of money being put to a good cause! It is obscene; and shameless.

No End in Sight

The banks and credit card companies continue their shameless ways with outrageous rates and fees galore. They feel not shame, but pride, as they continue to break profit records with fee income as a primary source of those profits. The executives shrug their shoulders at the criticism and say that they are in full compliance with existing government regulations. And instead of putting the breaks on the banks, the feds have become advocates for the consumer lending industry. The fact that the banks are key campaign contributors to many a politician would not have any influence, would it? What do you think?

In a 2007 article for reuters.com, Harvard Law School professor and bankruptcy expert Elizabeth Warren states that, "One would expect the government to come down on the side of the consumer. Instead, it regulates on the side of the banks.... The lobbying dollars are all on the side of the industry. That's why they get to make all the rules."

The attitude and aggressive ways of the credit card industry are like being on a runaway train. Americans are saving less because they need to spend up to 90% of their disposable income paying down their credit card debt. Bankruptcy filings and foreclosures are at an all-time high. The debt crisis in America is like a financial cancer that grows and spreads silently while we sleep.

According to Gabriel Stein, an economist at Lombard Research, "Households, in their quest for sources of financing, have now been moved from mortgage borrowing to credit cards. This is extremely bad news for the U.S. economy over the course of 2007 and suggests that households are at their last gasp to find some form of credit." Who is responsible for putting the stranglehold on the person gasping for their last financial breath? My answer: the banks, the credit card companies, and the entire consumer lending industry. That is one area in which I can use the word "responsible" and "consumer lending industry" in the same sentence.